

Warehousing

Let us just quickly skim through this part as it relates to shipping (we have covered this in detail in another chapter). At different stages of business, your warehouse needs will differ. You may start off with using a part of your house for storage initially but will need to move into a separate space as the business expands. All the packaging and shipping will be handled at the warehouse and it will need to be equipped with the proper system to automatically receive orders, package and ship them out. When you have reached a high order rate, you may want to consider the option of a fulfillment warehouse. This is a third-party professionally operated warehouse that stores and ships your products. You will have to do a detailed cost benefit analysis in terms of what costs and resources you save in both the options and what is the best strategy for you. Warehousing and shipping go hand in hand so you need to plan this part with a holistic approach to both.

Choosing a Partner

In an ecommerce setup, the only physical connection with the customer is at the time of delivery. The delivery can play a big role in portraying your brand. This will be the last interaction of the customer with your brand. Studies have shown that it's the last bit that determines the experience for an individual. It's the feeling you are left with at the end of the date that determines its success. Do not underestimate this part. If the delivery is not on time, if there was a mix up with the package, that bad experience is what the customer will remember and chances are high that you will not get a second chance. Especially if you are a new entrant. Customers are demanding and merciless. Don't expect any quarter.

So when choosing your shipping partner, do your homework. Thoroughly. And then double check it. Make a checklist of your expectations from the delivery service and rate the various choices across different parameters. The parameters could be timeliness, cost, careful handling, their policies in case of a locked house, time taken in case the product is not delivered, availability of goods tracking facility so on and so forth. Do a few dry runs. Every carrier has its own pros and cons and there is no one size fits all. You should have contingency plans ready in case your primary partner is not able to deliver the promised services on a particular order.

The boom in the ecommerce industry has consequently and logically propagated several ancillary industries shipping and delivery being the foremost of them. There are highly famous and successful startups in the